

an investigation of certain aspects of NYRA's operations by Federal prosecutors. In December 2003, NYRA reached agreement with the Justice Department whereby NYRA was indicted with prosecution deferred. NYRA agreed to pay a fine and the indictment will be dismissed with prejudice upon NYRA implementing certain reforms and otherwise complying with the terms of the agreement. Our participation is subject to a definitive agreement, regulatory approvals and certain legislative changes by the State of New York.

Off Balance Sheet Arrangements

Our off balance sheet arrangements consist primarily of investments in unconsolidated affiliates, which currently consist primarily of our investments in Monte Carlo and Borgata. We have not entered into any transactions with special purpose entities, nor have we engaged in any derivative transactions other than straightforward interest rate swaps. Our joint venture and unconsolidated affiliate investments allow us to realize the benefits of owning a full-scale resort in a manner that minimizes our initial investment. We provided a guaranty for up to 50% of the interest and principal payment obligations on the construction financing for The Residences at MGM Grand. Otherwise, we have not guaranteed financing obtained by our investees, nor are there any other provisions of the venture agreements which are unusual or subject us to risks to which we would not be subjected if we had full ownership of the resort.

At December 31, 2004, we had outstanding letters of credit totaling \$51 million, of which \$50 million support the bonds issued by the Economic Development Corporation of the City of Detroit. These bonds are recorded as a liability in our consolidated balance sheets. This obligation was undertaken to secure our right to develop a permanent casino in Detroit.

Commitments and Contractual Obligations

The following table summarizes our scheduled contractual commitments as of December 31, 2004:

(In millions)	2005	2006	2007	2008	2009	Thereafter
Long-term debt	\$ 476	\$ 245	\$ 910	\$ 430	\$ 1,050	\$ 2,400
Estimated interest payments						
on long-term debt (1)	410	391	341	290	286	461
Capital leases	2	2	2	1	—	—
Operating leases	10	9	8	7	7	332
Long-term liabilities (2)	40	7	6	5	55	4
Other purchase obligations:						
Mandalay merger	5,505	—	—	—	—	—
Construction commitments	134	5	—	—	—	—
Employment agreements	100	69	14	1	—	—
Entertainment agreements (3)	73	23	—	—	—	—
Other (4)	43	7	7	7	3	—
	\$6,793	\$ 758	\$1,288	\$ 741	\$ 1,401	\$ 3,197

(1) Estimated interest payments on long-term debt are based on principal amounts outstanding at December 31, 2004 after giving effect to the redemption of certain senior notes in February 2005, and forecasted LIBOR rates for our bank credit facility.

(2) Includes our obligation to support \$50 million of bonds issued by the Economic Development Corporation of the City of Detroit as part of our development agreement with the City. The bonds mature in 2009. Also includes the estimated payments of obligations under our deferred compensation and supplemental executive retirement plans, based on balances as of December 31, 2004 and assumptions of retirement based on plan provisions.

(3) Our largest entertainment commitments consist of minimum contractual payments to Cirque du Soleil, which performs shows at several of our resorts. We are generally contractually committed for a period of 12 months based on our ability to exercise certain termination rights; however, we expect these shows to continue for longer periods.

(4) The amount for 2005 includes approximately \$31 million of open purchase orders. Other commitments are for various contracts, including maintenance and other service agreements and advertising commitments.

Other significant operating uses of cash in 2005 include tax payments. Other significant investing uses of cash flow in 2005 include uncommitted capital expenditures, expected to be approximately \$400 million exclusive of any spending